



764408333 Stacey Burke student Jose Kamau

Introduction to the Stock Market (Mount Royal University)



messages.pdf_cover_qr_code_label

Introduction

90% of traders lose money. Do you really think this is a coincidence that you lose money every time you trade? This is a zero-sum game. The reality is that every strategy works, but only with the right people. I will make this E-book as short and simple as possible because I believe you have the knowledge you just have to align a few dots in order for trading to make sense.

Fundamentals

With the strategy that I will teach you later in the course, there are some fundamental basic foundations that we must build. All the information you have about trading will come in handy, but for now, just keep an open mind and an open heart.

Isolation

Before I learned how to trade using this strategy, I used to trade all the time. I would spend hours and hours staring at the screen trying to catch moves. I would get so overwhelmed with emotions at the end of the day I would have lost all my money. This is what most traders do. Trying to catch moves.

In this strategy, We use a system of isolation. This is to make our system as simple and clear as possible. After learning this system, you will be able to know what happened when you have a winning or losing trade. We are setting our parameters.

50 pips
a day

1. Time

The forex market has 3 sessions. Depending on your availability, you can trade any of these sessions but keep in mind the volume is different. Our strategy narrows down our trading window to 3 hours per session.

We use the New York time to trade. This is to help with uniformity.

ASIA SESSION	8:00 pm-11:00 pm
LONDON SESSION	2:00 am- 5:00 am
NEW YORK SESSION	8:00 am- 11:00 am

This is the optimal time to trade. One advantage of having a trading window is that you prevent over-trading. If there is no set-up in the window, tomorrow is another day.

The first hour of the trading window sets the high and the low of the session in our trading window.

Location logistics

Location in this context means where the price is. Most traders lose money because they take trades anywhere just because there seems to be a tradable pattern. Knowing where the price must reach in order for you to start analyzing the chart is crucial in preventing emotional mistakes.

THIS IS THE PRINCIPLE RULE. BUY LOW SELL HIGH.

High and low of the day

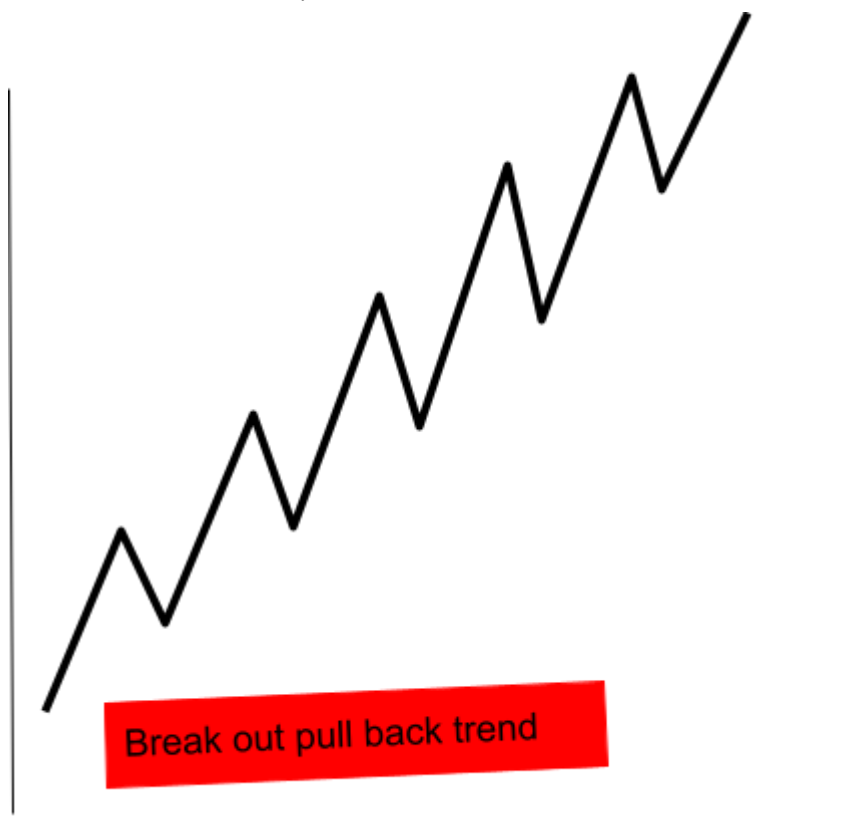
50 pips
a day

Before the window opens, it is important to plot the high and the low of the day. This is the highest and lowest price the market reached on that day. These are the main location logistics. We only buy at the low of the day or sell at the high of the day. There will be some exceptions and I will explain later in the course.

Price action

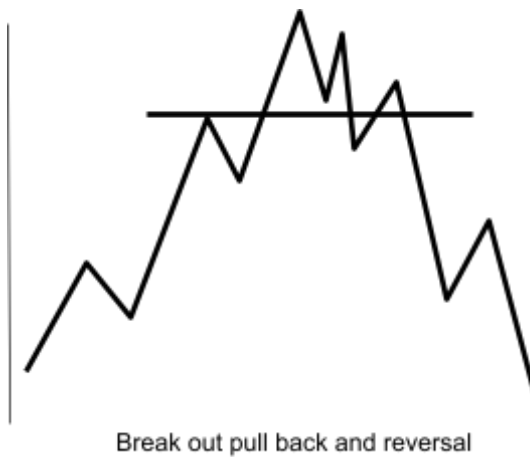
It is important to know that the market does 3 things.

- Breaks out pulls back and trends

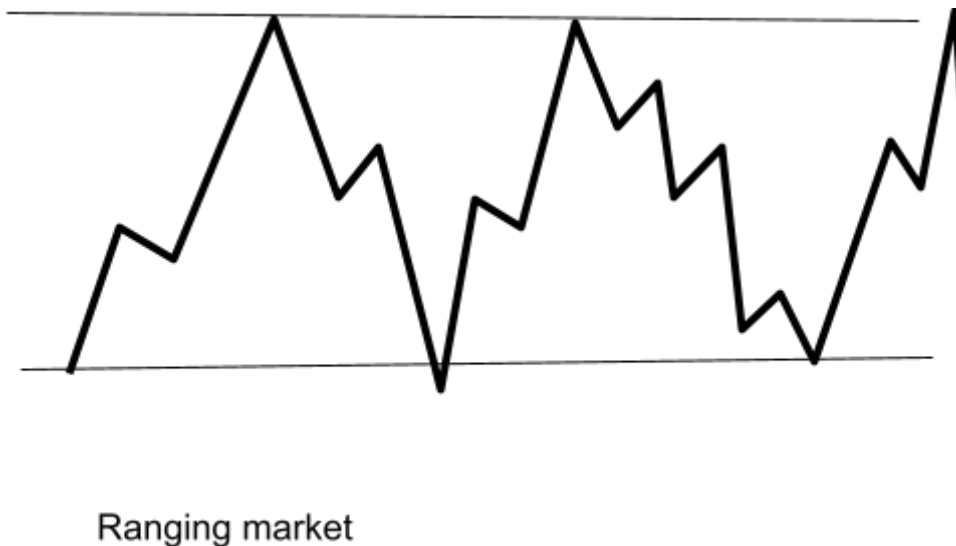


50 pips
a day

- Break out pull back and reversal



- Ranging market

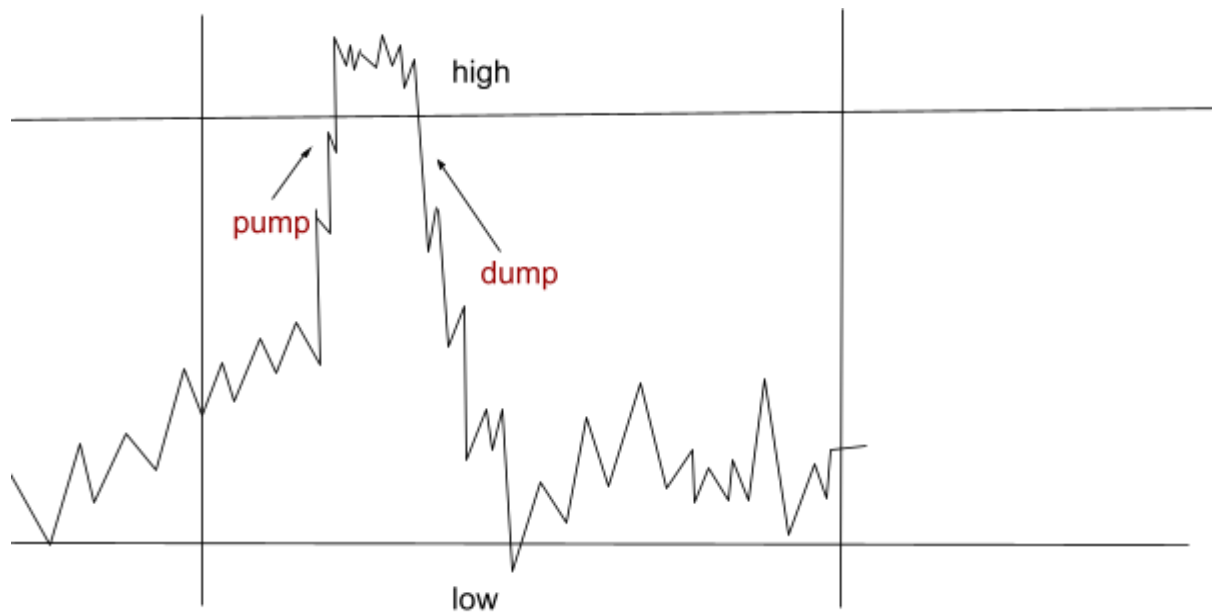


Once you know which type of market you are observing, you can now start looking for your setup.

Pump and dump set-up

Often, during the trading window, the prices shoot explosively either to the high or the low. This is a unique pattern that is 90% successful when traded correctly.

50 pips
a day

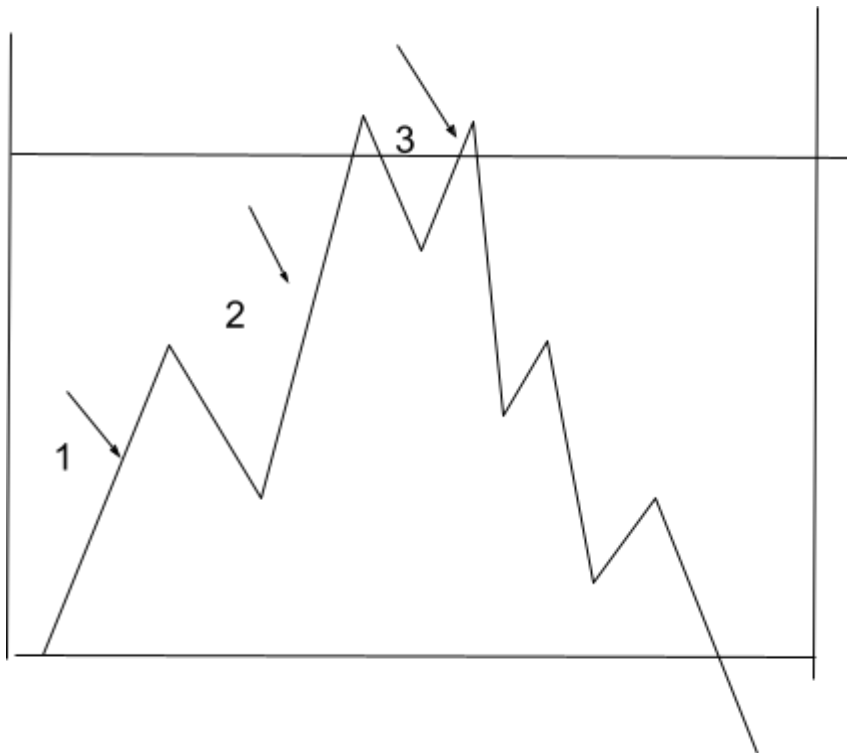


This pump or dump is usually a result of a news catalyst. This will be one of the major setups we shall dig deeper into later in the course.

3 push set-up

One principle the market obeys is the 3 push pattern. It might be 3 legs or 3 levels. The main point to NOTE is that the market will often move in 3 pushes.

50 pips
a day

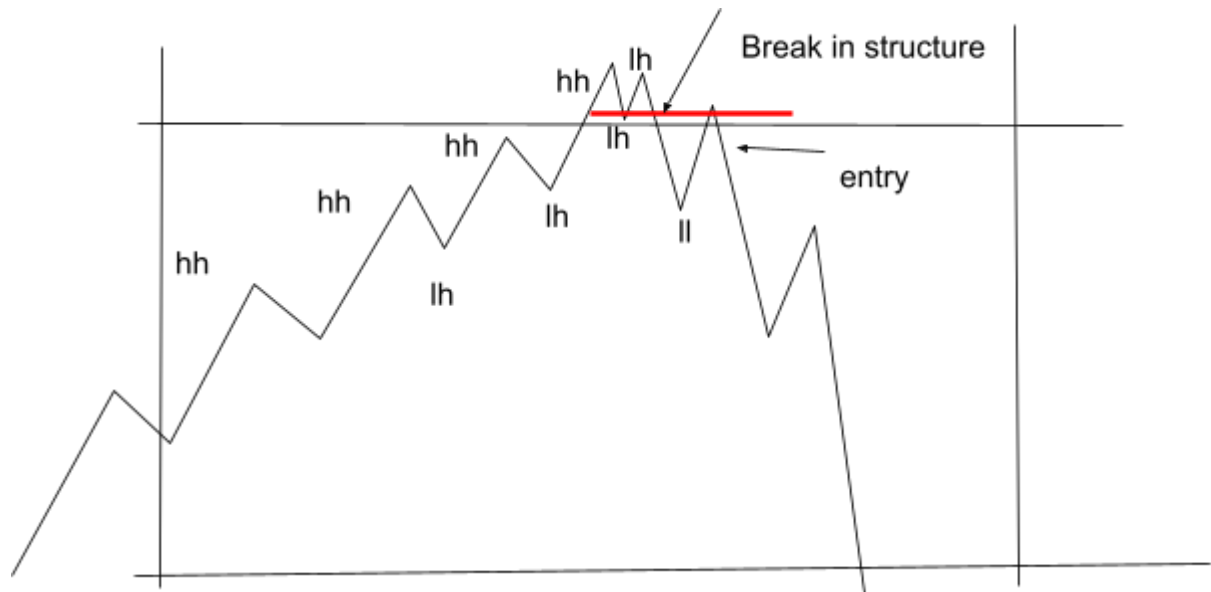


Continuation

Most of our setups will be the continuation of a trend. You must align yourself with the trend as it begins. How do you know when a trend is beginning? The price action at the high or the low of the day is king.

A trend is characterized by successful higher highs or lower lows. When the price reaches the high or low of the day, it will either continue breaking the highs or the price will fail to make a break in the structure.

50 pips
a day



The biggest indicator that a trend is over is when the price fails to break above the previous higher high to create a lower high and continues to break through the previous lower high. This concept applies to the low of the day.

The continuation trade is taken after the break of structure, then the price retests the region then an engulfment candle forms.



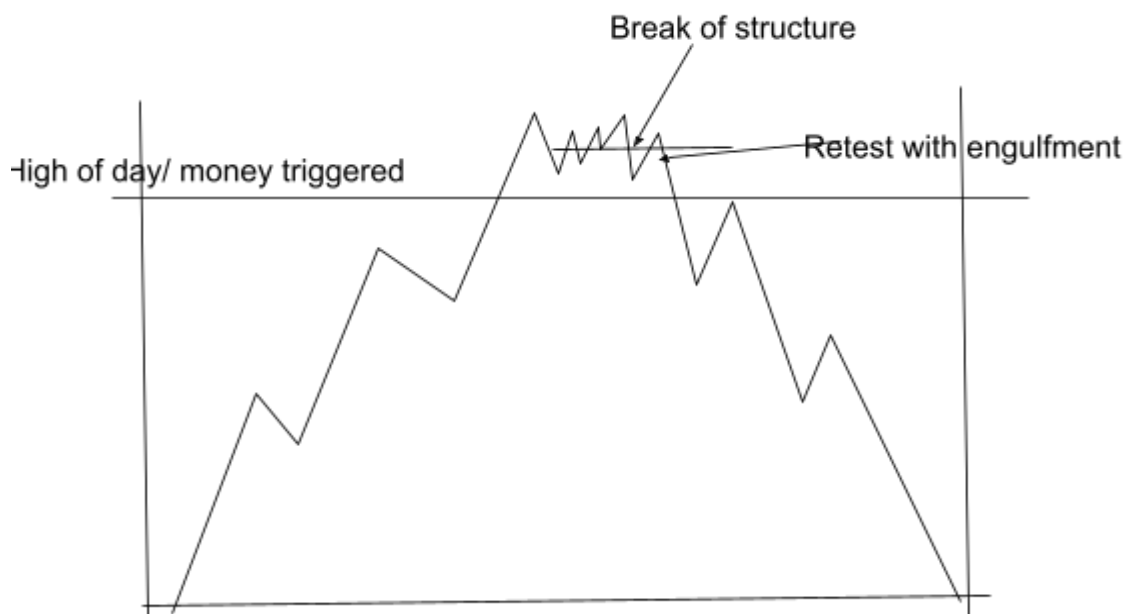
Confluences

50 pips
a day

We shall call the high and low of the day as money zones. The only time you can look at the charts for a setup is when the money zone has been triggered. This is the first confluence.

Confluence number two is to wait for the break in structure at the high. This is a signal that the trend has finally come to a stop.

Confluence number 3 is when the retest gives us an engulfment candle to lock in the high and set way for the new trend.



50 pips
a day

Psychology

90% OF TRADING IS PSYCHOLOGY 10% skill. I have made this E-book as simple and direct as possible in the technical section to focus mainly on your psychology. You probably think that you will make millions of dollars in the next 6 months. This is where most traders fail.

Trading only works for people with abundance. If you are poor, find a way to make money. Keep in mind poverty is just a state of mind. One major lesson I have learned painfully is that you cannot depend on forex alone to survive when you are beginning. This is because you need time to grow your confidence and discipline without any external pressures.

You must have an alternative source of income to sustain you as you grow your skill and trading account.

Your trading is a reflection of you as a person. If you are consistently making losses, it means that there are areas in your life that you have neglected.